

Week 5: From View to Trade

Lecture 5 of 5: G10 FX

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By the end of today you will be able to

- ✦ Turn a view into a **trade**: direction, instrument, entry, stop, target
- ✦ Work out **risk and reward**, including carry
- ✦ **Size** a position so one bad trade cannot sink the book
- ✦ Write **forecasts against the forward**
- ✦ Know when to **exit**, and log trades on the mock book

Opening question: **most traders with a correct view still lose money on it. Why?**

Checking your rough drafts

Common fixes

- ✦ **Positioning:** say whether it helps or hurts your view, not just the number
- ✦ **Catalyst calendar:** every event needs “what is priced” and “what would surprise”
- ✦ **Indicators panel:** every number dated and sourced
- ✦ **Charts:** the title must be the claim

What we have built

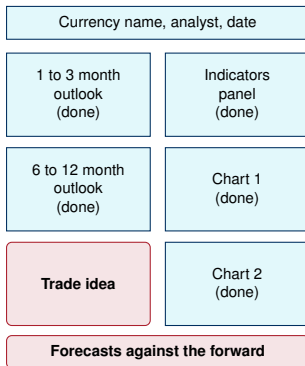
Week 2: what is priced

Week 3: what pulls over a year

Week 4: who is in the trade

Today: the trade itself

Where today fits on the page



✂ Today fills the last two boxes: the **trade idea** and the **forecasts**

✂ After today, every page is complete

✂ **Issue 1** is published next week

A view says what will happen. A trade says what we will do about it, and what it costs if we are wrong.

The five parts of a trade

Part	The question it answers
Direction	Buy or sell the pair? (Bullish yen means sell USD/JPY)
Entry	At what level, or on what trigger, do we get in?
Stop	At what level is our view wrong , so we get out?
Target	At what level has the view played out , so we take profit?
Catalyst and horizon	What event should move it, and by when?

The stop comes from your **what would change our mind** question, not from how much you can bear to lose.

Two views, one trade

Our USD/JPY views

- ✳ **6 to 12 months:** lower, as the rate gap narrows
- ✳ **1 to 3 months:** higher for now, capped near 164

So: the direction is **sell USD/JPY**, but not yet. We wait for the tactical picture to turn.

Entry triggers (Weeks 3 and 4)

- ✳ USD/JPY fails at **160** resistance
- ✳ Or falls below its 50 day average
- ✳ Or a catalyst: a hawkish BoJ, a softer Fed

A trigger means you enter when the market starts to **agree** with you.

Choosing the instrument

Instrument	How it works	When to use it
Spot	Buy or sell now; carry paid daily as rollover	Our mock book default: simple and liquid
Forward	Lock in a price for a future date; carry built into the price	Same economics as spot; common for hedgers
Option	Pay a premium for the right, not the obligation	When you want a capped loss, e.g. around a big event

On the mock book we trade **spot**, so the carry arrives as a daily **rollover**: next slide.

Carry on a spot trade: the daily rollover

Why short USD/JPY costs money

- ✳ Selling USD/JPY means you **owe dollars** and **hold yen**
- ✳ You **pay** the USD rate (3.875%) and **earn** the JPY rate (1.25%)
- ✳ Net cost: about **2.6% a year**, charged every night you hold the position
- ✳ A **long** USD/JPY position is the reverse: it **earns** 2.6% a year

On a \$350,000 short (see Sizing)

Per day	about \$25
Per month	about \$770
Per 3 months	about \$2,300

Shown as the **swap** or **rollover** on your platform. Small each day, but it adds up: about a quarter of the \$10,000 we risk.

Risk and reward

Our trade: sell USD/JPY at **159.50** stop **164.20** target **150.00** horizon 3 months

Example: sell USD/JPY

Entry	159.50
Stop	164.20
Target	150.00
Risk (entry to stop)	4.70 yen
Reward (entry to target)	9.50 yen
Reward to risk	2.0 : 1

Illustrative levels

- ✳ Aim for reward at least **twice** the risk
- ✳ Then you can be wrong more often than right and still make money
- ✳ Stop just **beyond** a key level (164, where Japan intervened), not on it

Quick check: with 2 : 1, what share of trades must win to break even? (Answer: one in three)

Don't forget the carry

Our trade: sell USD/JPY at **159.50** stop **164.20** target **150.00** horizon 3 months

Short USD/JPY for 3 months

- ✂ You **pay** the USD rate and **earn** the JPY rate
- ✂ Gap: $3.875\% - 1.25\% \approx 2.6\%$ a year
- ✂ Cost: $159.50 \times 2.6\% \times 0.25 \approx \mathbf{1.05 \text{ yen}}$

Reward before carry	9.50 yen
Carry over 3 months	-1.05 yen
Reward after carry	8.45 yen

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Why it matters

Carry is a slow **bleed**: the longer you wait for the move, the more it costs.

So a trade against carry needs a **catalyst and a deadline**.

Reward to risk after carry: $8.45 \div 4.70 \approx \mathbf{1.8 : 1}$.

If stopped out after 3 months, the carry adds to the loss too: $8.45 \div 5.75 \approx 1.5$.

Sizing: how much to trade

Our trade: sell USD/JPY at **159.50** stop **164.20** target **150.00** horizon 3 months

The rule: risk a fixed share of the book on each trade, e.g. **1%**

Book size	\$1,000,000
Risk per trade (1%)	\$10,000
Distance to stop	4.70 yen
Loss per \$1 sold, at the stop	$4.70 \div 164.20 \approx \0.029

Position size **about \$350,000**

$\$10,000 \div 0.029 \approx \$350,000$. Book size illustrative.

- ✖ The **stop sets the size**, not the other way round
- ✖ A wider stop means a **smaller** position
- ✖ Ten losses in a row cost about 10%, not the whole book

When to get out

Our trade: sell USD/JPY at **159.50** stop **164.20** target **150.00** horizon 3 months

Exit	What it means
Stop hit	The market says we are wrong. Exit, no arguing
Target hit	The view has played out. Take profit, or move the stop to protect it
Thesis broken	A “what would change our mind” event happens, even if the stop is not hit
Time stop	The catalyst has passed and nothing happened. Carry is costing us: exit

Decide your exits **before** you enter. Never move a stop further away.

Forecasts against the forward

USD/JPY

teaching example

Horizon	Spot	Forward	Our forecast	Against the forward
3 months	157.27	156.25	158.00	Higher: matches our 1 to 3 month box
12 months	157.27	153.30	150.00	Lower: matches our 6 to 12 month box

- ✂ The forward already builds in the rate gap, so a forecast only adds value where it **differs** from it
- ✂ Our 12 month forecast is **3.3 yen below the forward**: that gap is our edge
- ✂ Each issue, compare our forecasts with the forward and with bank forecasts

Forwards from spot 157.27 and policy rates as a proxy: USD 3.875%, JPY 1.25%.

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The trade idea box

USD/JPY trade idea

teaching example

Trade	Sell USD/JPY (long yen), spot
Entry	159.50, on a failure at 160 or a break below the 50 day average
Stop	164.20: above the July intervention level
Target	150.00
Reward to risk	2.0 : 1 before carry; about 1.8 : 1 after
Size	1% of the book at risk
Catalyst	BoJ meeting on 18 December; softer US data
Horizon	3 to 6 months; exit if nothing by the March BoJ meeting
Why	The rate gap narrows over 12 months; the yen is at a record low on REER

Every line links back to a box you have already written.

So why do correct views lose money?

Right view,
wrong **timing**

Stop too tight, or
no stop at all

Too big: one loss
wipes out the book

Carry bleeds while
waiting for the move

Today's ideas fix each one:

1. **Triggers** and catalysts fix timing
2. The **stop** comes from where the view is wrong
3. **Sizing** keeps any single loss small
4. **Time stops** limit the carry cost

A view is an opinion. A trade is a plan with a cost.

The whole series on one page

Lecture	The question	Page box
1	How does FX work?	Header
2	What is priced, and where is the surprise?	1 to 3 month outlook
3	What pulls the currency over a year?	6 to 12 month outlook; Chart 1
4	Who is already in the trade?	Indicators panel; Chart 2
5	What do we do about it?	Trade idea; forecasts

From here, every two weeks: **update the data, test the view, review the trade.**

Exercise: finish your page for Issue 1

Step 1: the trade

- ✶ Your **trade idea box**: all nine lines
- ✶ Reward to risk **after carry**
- ✶ Size at 1% of the book

Step 2: forecasts and final check

3 and 12 month **forecasts against the forward**.
Then check the whole page: does every box tell the same story?

Approved trades go on the mock book when Issue 1 is published.

Cheat sheet: building your trade

Step	How
Direction	From your 6 to 12 month box. Remember: for USD/JPY, USD/CHF and USD/CAD, bullish on your currency means sell the pair
Entry	From your 1 to 3 month box and technicals: a level or a trigger
Stop	Just beyond the level that proves you wrong: a key level, or your “change our mind” event
Target	A key level, your fair value model, or your 12 month forecast
Reward to risk	$(\text{Target} - \text{entry}) \div (\text{stop} - \text{entry})$. Aim for 2 : 1 or better
Carry	$\text{Rate gap} \times \text{spot} \times \text{time held}$. Subtract it if you pay it
Size	$(1\% \text{ of book}) \div (\text{loss per unit at the stop})$
Forecasts	Your 3 and 12 month levels, against the forward from Week 2's formula